SENATE BILL 1598
By Lamar

HOUSE BILL 1859

By Brooks

AN ACT to amend Tennessee Code Annotated, Title 4; Title 8; Title 9; Title 47, Chapter 18; Title 63; Title 68 and Title 71, relative to medical debt.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Freedom from Medical Debt Act."

SECTION 2. Tennessee Code Annotated, Title 68, Chapter 1, Part 1, is amended by adding the following as a new section:

(a) The state treasurer shall make and enter into a contract with a nonprofit entity, upon such terms and conditions as the treasurer deems appropriate, to provide for the nonprofit entity's repayment of eligible debtors' medical debts pursuant to this section, including contracting for the publicizing of the availability of the entity to determine a debtor's eligibility for such repayment.

(b) When entering into any contracts facilitating a nonprofit entity's repayment of medical debts, the treasurer shall ensure that the nonprofit entity:

(1) Purchases the medical debt of eligible debtors from healthcare providers at fair market value; and

(2) Coordinates with the healthcare provider or debt collections agency to ensure that any adverse information resulting from the medical debt is removed from the debtor's consumer report following the repayment of the debt.

(c) In order to be eligible for repayment of medical debt under this section, the debtor must be a resident of this state who:

(1)

(A) Has a gross annual household income that is at or below four hundred percent (400%) of the federal poverty level for the applicable household size; or

(B) Owes medical debt in an amount that is five percent (5%) or more of the debtor's gross annual household income; and

(2) Has a patient account that maintains an outstanding balance after more than one hundred twenty (120) days have expired from the date the first bill is mailed to the debtor and after the healthcare provider has completed reasonable and customary attempts to collect the bill.

(d) Any payment obligation under a contract entered into in connection with the repayment of medical debt is not a debt, or pledge of the faith and credit, of the state but is payable solely by the nonprofit entity. All such contracts must contain a prominent statement to the effect that the state is not obligated to pay any portion of the medical debt, and that the faith and credit and the taxing power of the state is not pledged to the payment of the principal of or the interest on such medical debts or related payment obligations of the nonprofit entity.

(e) As used in this section, "consumer report," "consumer reporting agency," "debt collections agency," "healthcare provider," and "medical debt" have the same meanings as those terms are defined in § 47-18-5901.

SECTION 3. Tennessee Code Annotated, Title 47, Chapter 18, is amended by adding the following as a new part:

47-18-5901.

As used in this part:

(1) "Consumer report" has the same meaning as defined by 15 U.S.C. § 1681a(d);

(2) "Consumer reporting agency" has the same meaning as defined by 15 U.S.C. § 1681a(f);

(3) "Debt collections agency" means a person or entity hired to collect or attempt to collect debts due or asserted to be due to another person or entity;

(4) "Healthcare provider" means a healthcare practitioner, person, or facility licensed, authorized, certified, registered, or regulated under title 33, title 63, or title 68, and does not include a veterinarian licensed pursuant to the Tennessee Veterinary Practice Act, compiled in title 63, chapter 12; and

(5) "Medical debt" means debt owed by a consumer to a healthcare provider whose primary business is providing medical services, products, or devices, or to the healthcare provider's agent or assignee, for the provision of medical services, products, or devices.

47-18-5902.

(a) Beginning July 1, 2026, a healthcare provider shall not report a patient's medical debt to a consumer reporting agency. This section does not prohibit a healthcare provider from reporting a patient's medical debt to a debt collections agency.

(b) Beginning July 1, 2026, a consumer reporting agency shall not include on a consumer report a record of medical debt.

(c) If a consumer reporting agency includes information in a consumer report in violation of subsection (b), then the person to whom the consumer report applies may dispute the completeness or accuracy of such information, as provided under the federal Fair Credit Reporting Act (15 U.S.C. § 1681i).

47-18-5903.

(a) A violation of this part constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in part 1 of this chapter. A violation of this part constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in the Tennessee Consumer Protection Act of 1977, in addition to the penalties and remedies in this part.

(b) The attorney general and reporter has all of the investigative and enforcement authority that the attorney general and reporter has under the Tennessee Consumer Protection Act of 1977 relating to alleged violations of this part. The attorney general and reporter may institute any proceedings involving alleged violations of this part in Davidson County circuit or chancery court or any other venue otherwise permitted by law.

(c) Costs of any kind or nature cannot be taxed against the attorney general and reporter or this state in actions commenced under this part.

SECTION 4. Tennessee Code Annotated, Title 68, Chapter 1, Part 1, is amended by adding the following as a new section:

Notwithstanding another law to the contrary, a hospital as defined in § 68-11-201, or an ambulatory surgical treatment center as defined in § 68-11-201, may sell or otherwise transfer its medical debt to a nonprofit entity for the specific purpose of the nonprofit entity purchasing the medical debt of one (1) or more patients by elimination of the indebtedness pursuant to SECTION 2.

SECTION 5. It is the legislative intent that the state treasurer's interest earnings in the sum of one million dollars ($1,000,000) be recognized in fiscal year 2026-2027 in the general appropriations act. It is further the legislative intent that such funds be available for the purpose of the state treasurer contracting with a nonprofit entity to purchase and repay medical debts incurred by residents of this state as set forth in SECTION 2.

SECTION 6. This act takes effect July 1, 2026, the public welfare requiring it.